

Forty years ago today, U.S. President Richard Nixon closed the gold window and ushered in, for the first time in human history, a global system of unconstrained paper money under full control of the state.²

Of course, we know exactly where we were and exactly what we were doing on that fateful day. We were watching television. . . .

Richard Nixon, President of All the Americans, had something terribly important to say to his people. But he was worried. He summoned his advisers together and posed the key question to them:

“Should we interrupt *Bonanza*?”

Bonanza was a very popular TV show, featuring a prosperous rancher, his three sons, and their Chinese cook. Since *Bonanza* was much more popular than Richard Nixon, the president hesitated to interrupt it—even though he was going to change the entire world’s monetary system—and, in fact, institute a bold new system of purely paper money.

In trials, run over the preceding 2,000 years or so, this new system of money had always failed. But Richard Nixon seemed unaware. In fact, he seemed unaware that he was changing anything important at all. Instead, he directed his attentions to another experiment in central economic planning—another one that also failed every previous test—wage and price controls. Taking a page out of Emperor Diocletian’s book on “How to Screw up an Economy,” Nixon announced that henceforth the authorities in Washington would decide how much a man should pay for a loaf of bread or how much his employer should pay him for his labors.

Naturally, this effort was a failure too—and was quickly forgotten. But Nixon’s other initiative stuck. The world has suffered from it ever since. We are four decades into this latest experiment with paper money—the most successful effort so far, no doubt about it. People still use dollars with few complaints. As far as we know, nobody doesn’t want them. As far as we know, nobody will not want them tomorrow, either.

But wait, while dollars are universally accepted as a medium of exchange, as a store of value—money’s other purpose—green paper has been a disaster. It began losing value immediately after the Federal Reserve was set up to protect it. And then, when President Nixon cut the dollar’s last connection to gold, it lost value even faster. Today, a dollar will buy only about a penny or two as much as a dollar from 1913.